Rates Spark: A lot not to like for bonds

Tough to see much progress on the US-Iran "talks" this side of the Trump-Xi summit. As we wait, Treasuries feel pain. EUR rates still closely follow the bear-flattening/bull-steepening dynamic alongside oil prices. It's not just oil as a driver for gilt yields; they remain pressured higher by worries politics could get fiscally more expansive

Euro rate curves continue to follow the oil price narrative

Another wait; takes us to the weekend. Another week, and US Treasury stress ramps

Given the importance of the US-China bilateral summit this week, the war with Iran is put on the back burner as a front-and-centre issue; at least for President Trump, probably. The messaging is clear – patience, and no agreement given what Iran came back with. In consequence, inflation expectations are re-ratcheting higher, and the US 10yr yield is back above 4.4%.

Assuming minimal progress and no lasting agreement for the rest of this week, the odds favour a trek in the direction of 4.5% for the 10yr yield. So far it's been steady and measured, and there, in fact, has been no material selling of Treasuries. Most of the yield movement has been a repricing in line with higher inflation risks. We run the risk of some outright selling, a more disorderly market.

We'll see CPI inflation on Tuesday, which will confirm headline inflation for April rounding up to 4% and core inflation rounding up toward 3%. Plus, there is every reason to expect that solidified from the subsequent May readings. With 10yr SOFR in the 4% area, it's only marginally above where headline inflation will print.

That tight real interest rate outcome keeps the pressure to the upside for nominal rates.

EUR curves still follow the oil price narrative, while UK yields face additional drivers

While oil prices rose and dragging rates higher alongside, there were also other narratives putting upward pressure to varying degrees across the different curves. In the eurozone, the bear flattening largely followed the accustomed inflation-driven curve dynamic. Markets nudged up the rate hike discount alongside oil prices to just over 70bp of tightening by year-end. The 10y Bund yield, meanwhile, rose a little further above the 3% mark but shows continued reluctance to venture too far from that mark.

The underperformer coming out of the weekend were sterling rates as UK politics have moved into focus following the local elections. 30y gilts rose as much as 9bp – compared to 3bp in Bunds – as calls for PM Starmer to resign are growing and markets eye the possibility of a successor following a fiscally more expansive route. The story is not just about the additional gilt issuance to absorb, but also about the Bank of England potentially having less room to ease over the coming years. This is shown by the fact that the 2Y rate rose almost in parallel with the 30Y. With gilt yields still relatively stable, we don't, however, see signs of threats to financial stability, as for example, during the Liz Truss episode in 2022.

Tuesday's events and market view

The data highlight of the day is the US CPI release for April. Expectations are for the headline rate to rise to 3.7% from 3.3% year-on-year with the core rate accelerating to 2.7% from 2.6% YoY. Other US releases are the NFIB small business optimism and the weekly ADP employment figures. Goolsbee and Williams are the only scheduled Fed speakers.

The only notable release out of the eurozone is the German ZEW sentiment indicator, which is expected to sink deeper into negative territory. From the ECB, Nagel and Dolenc are expected to speak.

Primary markets will be busier with Belgium having announced a 5y syndicated sale alongside the scheduled auction from Germany (€6bn in 2y bonds) and the Netherlands (€2-3bn in 10y bonds). In SSAs, the EU announced a mandate for a new 7y bond alongside a 30y tap.

The UK will auction 5y gilts (£4bn) and after the 3y notes auction on Monday the US Treasury follows up with the sale of a new 10y UST on Tuesday (US$42bn).

Author

Benjamin Schroeder
Senior Rates Strategist
benjamin.schroder@ing.com

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

Padhraic Garvey, CFA
Regional Head of Research, Americas
padhraic.garvey@ing.com

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Why gold isn't acting like a safe haven right now

Gold has fallen around 12% since the Iran conflict began – a counterintuitive move for an asset widely held as a crisis hedge. The sell-off reflects the macro consequences of the shock rather than a breakdown in gold's safe-haven role. We remain constructive, with prices forecast to rise to $5,000/oz by year-end

Gold has struggled since the Iran war began

Source: Refinitiv, ING Research

Why gold has sold off during the conflict

Gold's safe-haven appeal tends to perform best in a financial crisis or growth shock – when real yields fall and the dollar weakens. A supply-driven energy shock does the opposite. Higher oil prices push inflation up, keep central banks on hold and strengthen the dollar, all of which weigh on gold. High liquidity also makes it a source of funds when investors need to cover losses elsewhere.

We saw the same dynamic in 2022 after Russia invaded Ukraine. After an initial rally, gold came under pressure as the inflationary impact of higher energy prices pushed yields and the dollar higher. The same dynamic has played out here, only faster.

The macro headwind

The Federal Reserve left rates unchanged in April and the tone from Chair Jerome Powell was cautious. Inflation has re-accelerated since the war began and the case for near-term easing has weakened. Our US economist still expects easing in the second half of the year, but a prolonged energy shock could push that back. Real yields and the dollar remain the key constraints on gold.

Peace talks support a recovery, but progress has stalled

Gold has given back some of last week's gains, after President Trump rejected Iran's latest peace proposal as "totally unacceptable". The setback keeps the ceasefire timeline uncertain and inflation risks elevated – reinforcing the higher-for-longer rate narrative that has weighed on gold throughout the conflict. A durable resolution remains the key catalyst for a sustained gold recovery.

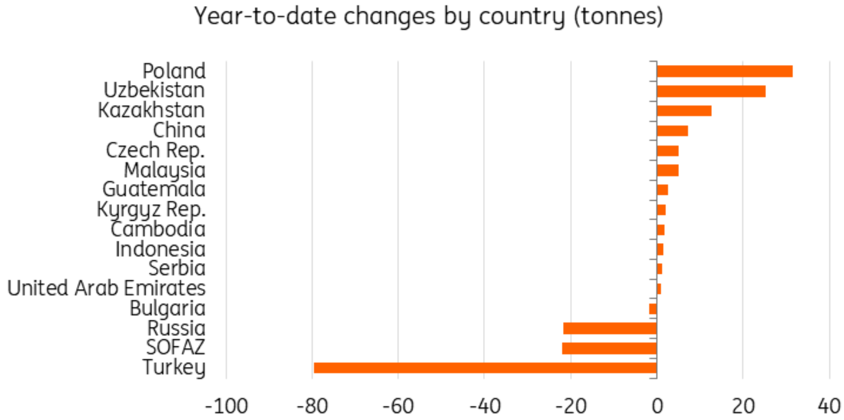
On the macro side, Friday's payrolls data showed employers added jobs for a second consecutive month in April and unemployment held steady at 4.3%. That gives the Fed little reason to rush on cuts, keeping yields and the dollar as near-term headwinds for gold. CPI data due Tuesday will be the next key test – a further inflation surprise would reinforce the picture. Powell's tenure ends this week, adding another layer of uncertainty around the Fed's independence.

Central banks remain a structural pillar

Central bank demand continues to underpin the market. China's central bank returned to buying in April, adding 8.1 tonnes – the most since December 2024 – extending its buying streak to 15 consecutive months and lifting total holdings to around 2,305 tonnes.

Overall, although central banks turned net sellers of gold in March, with net sales of around 30 tonnes, purchases in the first quarter still totalled 27 tonnes, according to data from the World Gold Council. Turkey led the selling, cutting holdings by 60 tonnes as part of efforts to support FX liquidity, taking its first quarter net sales to 79 tonnes. Buying remained concentrated, with Poland adding 11 tonnes in March and 31 tonnes year-to-date.

Poland remains the biggest central bank buyer of gold



Source: WGC, ING Research

In Q1, central bank demand was up 17% quarter-on-quarter, despite an uptick in sales, with Poland and Uzbekistan leading the buying. The National Bank of Poland was once again the largest purchaser, increasing its gold reserves by 31 tonnes over the quarter to 582 tonnes. Despite recent statements by Governor Adam Glapiński about the possibility of selling some of its gold, the central bank appears to remain focused on reaching its 700 tonne target.

Reported sales also increased, specifically from Turkey, Russia and Azerbaijan. The largest seller of gold in Q1 was Turkey, where official sector holdings fell around 70 tonnes (approximately 10% of total official sector holdings) based on available reported data. The bulk of the sales came in March, with the bank utilising an additional 80 tonnes via gold swaps for FX and liquidity purposes.

This points to a slower but still positive trend in official sector demand, with reserve diversification remaining supportive for gold over the medium term.

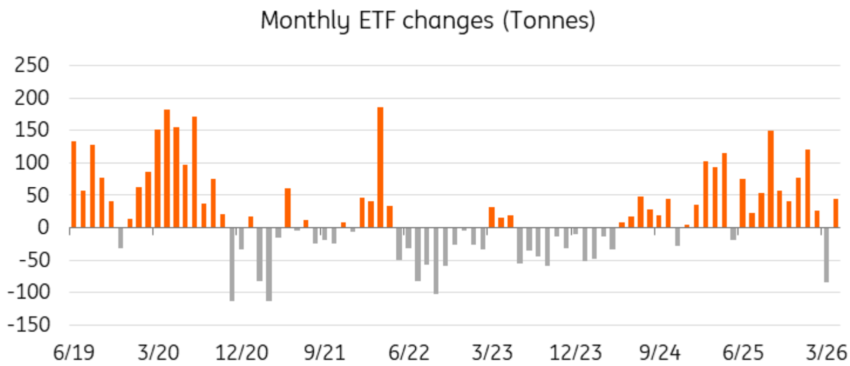
ETF flows starting to turn

ETF outflows have weighed on prices since the conflict began, unwinding much of this year's previous inflows. Early signs suggest positioning is beginning to shift.

Global gold ETFs recorded roughly $6.6bn of inflows in April, flipping from March outflows, according to World Gold Council data, with Europe leading the move, reflecting concerns that the region would be more exposed to a Strait of Hormuz closure. Contributions from Asia and the US were around a third of Europe's over the month.

Holdings remain well below the November 2020 peak, leaving room for a significant rebuild. ETF flows track Fed expectations closely – Fed easing should be a catalyst for renewed inflows in the second half.

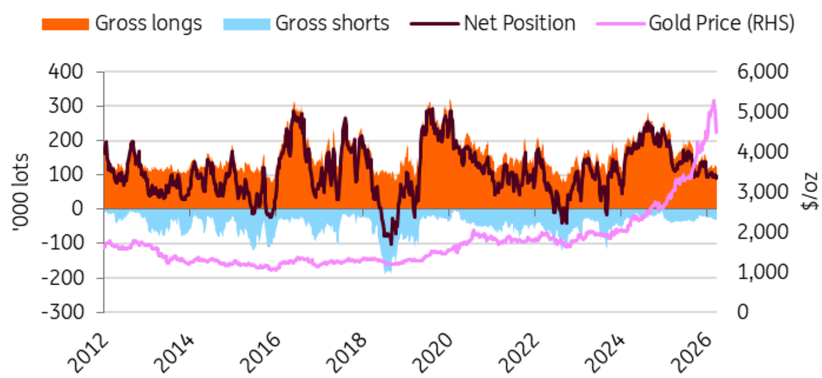
Flows flip positive in April



Source: WGC, ING Research

Meanwhile, COMEX managed money net longs continue to point to a constructive investor backdrop, though positioning has yet to reach crowded territory.

Gold positioning not yet stretched



Source: CFTC, ING Research

Near-term risks, long-term support

We remain constructive, but the stalling of peace talks adds near-term uncertainty. Trump's rejection of Iran's latest proposal keeps the ceasefire timeline unclear and inflation risks elevated, which limits the Fed's room to cut.

The path higher depends on energy prices easing, inflation cooling and the Fed cutting in the second half of the year. Central bank buying and recovering ETF flows provide additional support.

We now see prices rising to $5,000/oz by year-end. The main downside risk is a breakdown in peace talks that keeps energy prices elevated and the Fed on hold into year-end.

Gold's safe-haven role is not in question. However, recent months have shown that short-term price action can still be dominated by macro forces – particularly real yields, the dollar and expectations for Fed policy. Once those headwinds begin to ease, gold's underlying support should reassert itself.

Author

Ewa Manthey
Commodities Strategist
ewa.manthey@ing.com

Disclaimer

FX Daily: US price check this week

Investor hopes of a ceasefire deal ahead of President Trump's trip to China have yet to materialise, with few signs of conciliation on core demands from either the US or Iran. Oil prices have gapped up 4% in Asia and equities are called a little lower. Barring a surprise peace deal, the focus this week will be on US April CPI data. Firm data can keep the dollar bid

The highlight of the data calendar this week will be Tuesday's US CPI for April

USD: Little progress in Middle East, focus on inflation

The week starts with the dollar a little stronger across the board. Last week's optimism that a Middle East peace deal could be reached ahead of President Trump's visit to China (scheduled to start this Thursday) has been dashed. The President branded Iran's latest offer as 'totally unacceptable'. Barring some intense behind-the-scenes pressure from China to secure a deal, the market will continue to price an impasse, higher oil prices and a wave of global inflation. We could hear more about the drawdown in global oil supplies and a 'tipping point' about to be reached when the IEA releases its monthly Oil Market Report (OMR) this Wednesday.

The fallout of the Middle East energy shock continues to reverberate around the global economy and the highlight of the data calendar this week will be tomorrow's release of US CPI for April. Headline inflation is expected to rise to 3.7% year-on-year (3.3%) while the core rate should rise to

2.7% (2.6%). With the US labour market so far holding up and the unemployment rate staying low, the Federal Reserve is going to have to sound cautious. Indeed, money markets have flipped back to considering Fed hikes towards the end of this year. From the Fed side, we will hear from two of the three hawkish dissenters at the April FOMC meeting, Neel Kashkari and Beth Hammack. Additional US data this week comes in the form of PPI data on Wednesday and April Retail Sales on Thursday – with the latter expected to have held up well again as the stock market hits new highs.

Given that the full force of the stagflationary shock has yet to hit, we struggle to see the dollar selling off in a sustained fashion just yet. That probably means that DXY can bounce around in a 98.00-98.50 range for a while longer, while USD/JPY can creep back to 158 even though US Treasury Secretary Scott Bessent is in Japan early this week and will probably deliver supportive words to Japan's FX intervention campaign.

Chris Turner

EUR: More consolidation

EUR/USD has been holding up quite well, largely on the back of the recent pro-risk, softer dollar environment. Here, strong AI stories in Asia (Korea and Taiwan), plus USD/CNY trading through 6.80 have really been the dominant drivers and provided support to the emerging currencies around the world. The outlook for the euro has been less encouraging, however, where the activity data has been poor, and it is only the prospect of European Central Bank hikes this summer that is preventing EUR/USD from dropping back to 1.15.

With oil prices staying high, expect the ECB to continue to talk tough and speeches by Christine Lagarde and Philip Lane this Wednesday may firm up the view that the ECB will hike 25bp on 11 June. That is currently priced with an 82% probability.

Unless there is a breakthrough on a peace deal this week, we struggle to see EUR/USD breaking above 1.18 and see greater risk of sub 1.1700 driven by higher US prices and more hawkish Fed pricing.

Chris Turner

GBP: PM Starmer tries to save himself

Sterling is softening a little as markets digest the fall-out from local UK elections held late last week. While Labour losses were not quite as bad as feared, they have failed to quell speculation over a Labour leadership contest and a clear leftward drift in government policy. Manchester Mayor Andy Burnham remains waiting in the wings and the markets will react to any news such as Burnham resigning as mayor or a sitting Labour MP resigning to make way for Burnham's return to parliament.

The key focus this morning will be a policy speech from PM Keir Starmer on how he plans to address Labour's falling popularity and take the party into the next election. The wild card here is how far he intends to embrace a return to Europe, whether that be rejoining the customs union or more controversially, the single market. It will be tough for Starmer to win over his critics, and we suspect EUR/GBP finds it way back to the overnight high at 0.8675.

Chris Turner

CEE: The forint is riding a wave of optimism

After a busy week for central banks, we are looking forward to a more relaxed few days in the CEE region. Today, retail data for March will be published in the Czech Republic. The flash GDP report for 1Q and industrial production data indicated that the economy had already slowed down even before the impact of the US-Iran conflict. The Czech National Bank will discuss a new forecast with analysts today, where we could hear more views from the Board after last week's meeting, which ended with a dovish bias.

On Wednesday, the final inflation figures in the Czech Republic will be published, where the focus will be on core inflation, which we believe increased from 2.9% to 3.0% year-on-year. On Thursday, Poland will publish the flash estimate of GDP for 1Q26, where we expect a slowdown from 4.1% to 3.8% YoY compared to the previous quarter. On Friday, we will see the final April inflation figures in Poland, which should be confirmed at 3.2% YoY and the CNB will publish the minutes of the last meeting.

Along with all emerging markets, CEE FX is enjoying the positive sentiment coming from the global story. EUR/HUF broke another record low last week, closing below 355 on Friday. On Saturday, a new Prime Minister Peter Magyar was appointed in Hungary from whom the market expects a quick unlocking of EU funds and the start of the EUR adoption process. Despite the already heavy long positioning, it seems that the market has no problem moving forward and our mid-year forecast at 350 will probably be reached earlier than we expected. On the other hand, the appointment of the PM itself may herald the end of positive headlines and the market may buy the rumour and sell the fact. Still, we lack a government plan that shows some fiscal policy consolidation, an outline of the EUR adoption plan, and steps towards the actual unlocking of EU funds. Therefore, we believe that the market can ride the wave of optimism for a while longer before it starts to address the details here.

Frantisek Taborsky

Author

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Frantisek Taborsky
EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Francesco Pesole
FX Strategist
francesco.pesole@ing.com

The Commodities Feed: Oil surges as peace deal hopes fade

Energy prices jumped this morning after the US rejected Iran's latest peace plan proposal

Energy- China's energy imports fall in April

The oil market remains heavily headline-driven, with prices surging after President Trump rejected Iran's latest peace plan proposal. One would expect the market to become increasingly fatigued by the deluge of headlines and the back-and-forth. However, oil prices remain highly sensitive to noise around Iran, highlighting the significance of the ongoing supply disruptions in the Persian Gulf. While optimism for an imminent deal is fading, there remains a glimmer of hope that talks between Trump and Chinese President Xi later this week could yield positive results on Iran. The hope is that China can use its influence over Iran to push it closer towards a peace deal. Clearly, this is easier said than done.

The latest trade data from China for April highlight the impact of the Iran war on the country's energy imports. China's crude oil imports in April fell 20% year-on-year to 9.4m b/d. This is the lowest level since July 2022, when the country was under a significant Covid-related lockdown. Meanwhile, natural gas imports in the month also fell 13% YoY. These imports include both pipeline gas and LNG. Clearly, it's the latter that has come under pressure.

The latest positioning data shows that speculators decreased their net long in ICE Brent by 9,000 lots over the last reporting week to 374,205 lots as of last Tuesday. This move was dominated by fresh shorts entering the market. Given the market's move lower since last Tuesday, this net long has likely been further reduced.

In the LNG market, Qatar has shipped its first cargo of LNG through the Strait of Hormuz since the war, with the vessel currently bound for Pakistan. Pakistan has been playing a central role in negotiating a peace deal between the US and Iran. Meanwhile, there are talks to allow further LNG cargoes to transit the strait.

Agriculture– WASDE expectations

The USDA is set to release its monthly WASDE report tomorrow, which will include its first estimates for the 2026/27 season. The market expects 2026/27 US corn ending stock estimates to fall 185m bushels YoY to 1,942m bushels, while soybean ending stocks are projected to increase by 16m bushels YoY to 366m bushels. The anticipated decline in corn stocks primarily reflects lower planting intentions, with corn acreage estimated at 95.3m acres, down from 98.75m acres in 2025, as farmers shift toward soybeans following last year's strong harvest. Looking at global balances, corn ending stocks for 2026/27 are projected to decline 3.6m tonnes YoY to 291.2m tonnes. Soybean ending stocks are expected to increase by 1.7m tonnes YoY to 126.5m tonnes.

The latest CFTC data shows that the net speculative long in CBOT corn rose by 79,822 lots over the last reporting week to 343,925 lots. This was largely driven by fresh longs entering the market, with 61,920 lots bought. Similarly, speculators increased their net long in soybeans by 36,335 lots to 221,617 lots. The move was fuelled by an increase in gross longs, as market sentiment improved on expectations for the Trump-Xi meeting in Beijing.

Author

Warren Patterson
Head of Commodities Strategy
Warren.Patterson@ing.com

Ewa Manthey
Commodities Strategist
ewa.manthey@ing.com

Disclaimer

THINK Ahead: What markets are getting wrong on rate hikes

US stock markets are surging to new highs. Oil prices are certainly not back to their lows – and neither are interest rate expectations. One of those things surely can't be right, can it? This week, James Smith looks at what investors could be getting wrong about central bank policy, as the team builds up to another big week in global markets

Equities are surging to new highs even as oil and rate expectations remain elevated

What markets are getting wrong on rate hikes

One of many striking features of markets right now is the gap between equities, which have shrugged off their mid-war losses and are surging to new highs, and oil prices – and by extension central bank expectations – which remain well above pre-war levels.

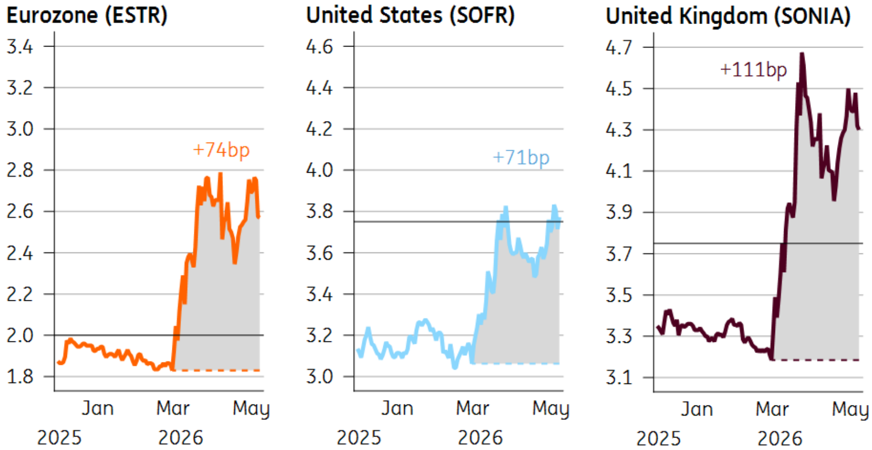
It's hard to believe both are right. And when it comes to the way investors are thinking about central banks, I see four aspects that look particularly difficult to square with our own views here at ING.

First, Fed rate hikes. Markets now think rates are more likely to go up than down, albeit marginally, after weeks of pricing cuts. The spread between US and eurozone interest rates has widened; the scale of repricing since the war began now looks identical in both regions.

That's a change. For several weeks, the working assumption was that Europe faced a much more severe inflation shock, warranting greater tightening than in the US.

How central bank expectations have changed

Implied one-month rate in one year (1Y1M swap)
Change since 27 February in brackets. Solid line shows current policy rate



Source: Macrobond, ING

Why the shift? Eurozone data has undershot expectations, while the US has held up better. The recovery in US equities weakens the case for near term cuts. And the Fed itself has made a concerted effort to talk up market rate expectations, with several officials keen to ditch the easing bias.

We're not so sure. James Knightley still thinks rate cut(s) are more likely than not before year end – and the disagreement hinges on how you view the US jobs market.

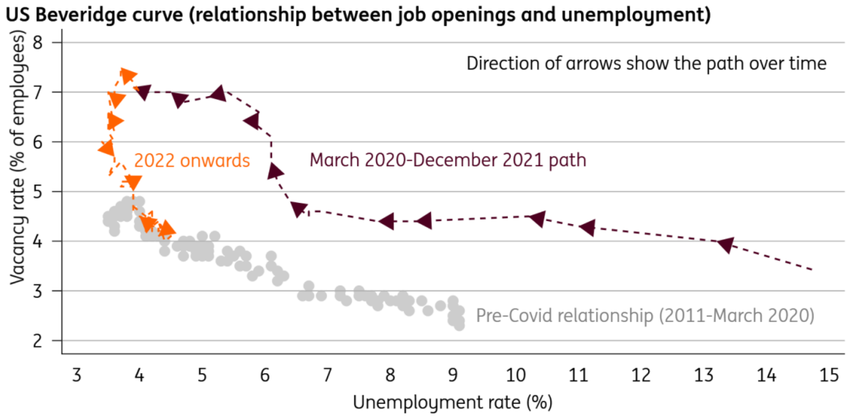
Fed officials increasingly point to collapsing net migration. In 2023, net inflows were 2.7 million. This year, they're projected at just 0.3 million, with a real risk that figure drops to zero or below. Combined with an ageing population, labour supply growth has effectively stalled. That means zero or even negative payroll numbers are potentially less of the red flag they once were. And bumper numbers like today's, at a headline level at least, look all the better.

True. But with labour demand also low across various metrics, the jobs market is more vulnerable than it was three or four years ago.

For a long time, vacancies fell without unemployment rising: firms stopped hiring aggressively, but didn't cut staff. That relationship has now normalised. Any further fall in job openings is much more likely to push joblessness higher than it was two years ago.

And whatever growth remains is extraordinarily concentrated. Private health and social care – less than 20% of total employment – continues to account for a large portion of job creation.

The relationship between vacancies and unemployment has normalised



Source: Macrobond, ING

Second, the UK repricing looks strange. Interest rates are now seen more than a percentage point higher in a year's time than before the war - around 40bp more than the equivalent ECB repricing.

That partly reflects the experience of 2022, when Britain emerged with a bigger and more persistent inflation problem. The UK is often described as being particularly sensitive to energy shocks.

That's only half right.

Yes, Britain is among the most reliant on natural gas, which makes up around 32% of total energy consumption, compared with 20% in Germany and 15% in France. But this is not a gas crisis – at least not yet. Natural gas prices have remained far more contained than in 2022.

Look at net energy imports, and the UK actually scores better than much of Europe. Net all that out, and my UK inflation forecasts look virtually identical to our eurozone numbers.

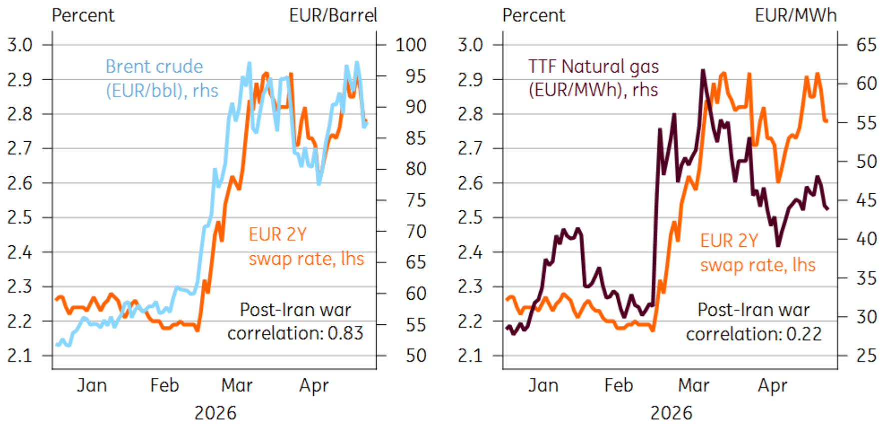
Third, the Bank of England is less likely to deliver two rate hikes than the ECB. Given what I've just said, it seems strange that markets are pricing a similar amount of tightening for the remainder of this year in both economies.

Not least because the message from both central banks last week was markedly different. The ECB seemed remarkably clear that it was on track to hike rates in June unless the situation dramatically changes. The BoE, by contrast, implied that simply not cutting rates - which it may well have done had the war not happened - already amounts to defacto tightening. The case for hiking above current levels was far less clear-cut.

True, here at ING we expect a one-and-done hike on both sides of the channel. But if you had to ask me if the ECB or BoE were more likely to hike, or tighten more in total, then notwithstanding UK political risks, it seems pretty clear that it's the former.

Finally, markets still appear to be overplaying the energy channel. Market expectations for the ECB and BoE are still trading very tightly with oil prices. It's something our Rates Strategy team has repeatedly flagged; the correlation between two-year euro swap rates and Brent crude since the Iran war has stayed very high at 0.83. For natural gas, it's just 0.22.

Rate expectations have moved more with oil than natural gas



Source: Macrobond, ING

As I've already discussed, that distinction matters. In 2022, natural gas and its impact on electricity prices was arguably the central problem for Europe. In reality, I suspect central banks are going to be less sensitive to oil and more attentive to natural gas, relatively speaking, than those correlations currently imply.

And so long as natural gas prices stay low, central banks are less likely to hike rates as aggressively as markets have recently been expecting.

James Smith

THINK Ahead in developed markets

United States (James Knightley)

Inflation (Tue): A second consecutive 0.9% month-on-month print is expected at the headline level, attributable mainly to the surge in gasoline and diesel prices. Higher airline fares will also contribute, while a rebound in medical care and recreation, after soft March readings, risk a 0.3% MoM for core inflation reading, pushing the annual rate up to 2.7%. We continue to believe the headline surge is temporary given the lack of demand impetus that would risk broader, more persistent inflation.

Retail sales/Industrial production (Thur/Fri): The former is likely to be lifted by higher gasoline prices given that this is a nominal dollar figure. However, other components will be softer with auto sales a drag. Industrial production should post a modest rebound given ongoing strength in the ISM manufacturing index.

The other big event will be Jerome Powell's final day as Federal Reserve Chair with Kevin Warsh taking over on Friday 15 May.

THINK Ahead in EMEA

Poland (Adam Antoniak)

1Q26 flash GDP (Thu): Following a poor beginning to the year due to the cold winter, economic activity regained momentum in March. Still, we estimate that annual growth was only slightly slower than the 4.1% YoY posted in 4Q25 and amounted to 3.8% YoY, marking a solid start to 2026. The composition of GDP will be published at the beginning of June, but we expect private consumption to have remained solid, while fixed investment underperformed.

Final Apr CPI (Fri): The StatOffice should confirm that CPI inflation increased to 3.2% YoY in April from 3.0% YoY in March. According to our estimates, the increase was driven by an acceleration in core inflation. The key question is whether this stemmed from price rises in narrow components of the consumer basket – such as airfares and holiday packages – or reflects more broad based inflationary pressures, pointing to potential second round effects following the initial energy shock.

Mar BoP (Fri): We forecast the March current account deficit at €0.3bn, i.e. much narrower than the €1.1bn reported in March 2025. As a result, the 12 month rolling deficit most likely narrowed to 0.8% of GDP from 0.9% of GDP after February. Foreign trade in goods was almost balanced, amid an 8.1% YoY increase in euro denominated exports, while imports advanced by 3.2% YoY. External imbalances remain low.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
		Monday 11 May		
US	1500	Apr Existing Home Sales (mn)	4.05	4.0
France	0745	Apr FX Reserves (EUR bn)	-	390.6
Norway	0700	Apr CPI (MoM%/YoY%)	-/-	0.2/3.6
Greece	1000	Mar Industrial Output (YoY%)	-	1.8
		Tuesday 12 May		
US	1330	Apr Core CPI (MoM%/YoY%)	0.3/2.7	0.2/2.6
	1330	Apr CPI (MoM%/YoY%)	0.9/4.0	0.9/3.3
Germany	0700	Apr CPI Final (MoM%/YoY%)	0.6/2.9	0.6/2.9
	1000	May ZEW Economic Sentiment	-21	-17.2
Italy	0900	Mar Industrial Output (MoM%/YoY%)	-0.2/0.2	0.1/0.5
		Wednesday 13 May		
US	1330	Apr PPI (MoM%/YoY%)	0.7/5.0	0.5/4
Eurozone	1000	Q1 GDP Flash Estimate (QoQ%/YoY%)	-/-	0.1/0.8
	1000	Mar Industrial Production (YoY%)	-	-0.6
France	0745	Apr CPI (MoM%/YoY%) Final	-/-	1/2.2
Sweden	0700	Apr CPIF (MoM%/YoY%)	-/-	-0.6/1.6
Netherlands	0530	Apr CPI NSA (MoM%/YoY%)	-/-	0.7/2.7
		Thursday 14 May		
US	1330	Apr Retail Sales (MoM%/YoY%)	0.5	1.7
	1330	Initial Jobless Claims (000s)	205	200
UK	0700	Mar GDP Estimate (MoM%)	-0.1	0.5
	0700	Q1 GDP Prelim (QoQ%/YoY%)	0.6/0.9	0.1/1
Spain	0800	Apr CPI NSA (MoM%/YoY%)	-/-	0.4/3.2
		Friday 15 May		
US	1415	Apr Industrial Production (MoM%/YoY%)	0.3	-0.5/0.7

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 11 May		
Turkey	0800	Mar Retail Sales (MoM%/YoY%)	-/-	-0.2/15.6
Czech Rep	0800	Mar Retail Sales (MoM%/YoY%)	-/-	0/4.1
		Tuesday 12 May		
Czech Rep	0900	Apr Unemployment Rate	-	5
Serbia	1100	Apr CPI (MoM%/YoY%)	-/-	0.5/2.8
		Wednesday 13 May		
Turkey	0800	Mar Current Account Balance (USD bn)	-9.8	-7.5
Czech Rep	0800	Apr CPI (MoM%/YoY%) Final	-/-	0.6/1.9
Hungary	0730	Mar Industrial Output Final	-	-1.5
Romania	0700	Apr CPI (MoM%/YoY%)	-/-	0.8/9.9
	0700	Q1 GDP Flash (YoY%)	-	0.2
		Thursday 14 May		
Poland	0830	Q1 GDP Flash (QoQ%/YoY%)	0.6/3.8	1.1/4.1
		Friday 15 May		
Russia	1700	Apr CPI (MoM%/YoY%)	0.3/5.8	0.6/5.9
Turkey	0900	Apr Budget Balance (TRY bn)	-	-229.9
Poland	0830	Apr CPI (MoM%/YoY%)	-	0.6/3.2
	1300	Mar Current Account	-296	-990
Czech Rep	0900	Mar Current Account Balance (CZK bn)	-	17.4
Romania	1300	Apr Rate Decision	-	6.50
Kazakhstan	0900	Apr Industrial Production (YoY%)	-	4.2
	0900	Apr GDP (YoY%)	-	3
Croatia	1000	Apr CPI (YoY%) Final	-	4.8

Source: Refinitiv, ING

Author

James Smith
Developed Markets Economist, UK
james.smith@ing.com

James Knightley
Chief International Economist, US
james.knightley@ing.com

Adam Antoniak
Senior Economist, Poland
adam.antoniak@ing.pl

Back-to-back US jobs gains, but hiring caution lingers

A second consecutive firm jobs report is a big win for the US economy, amidst trying circumstances. Nonetheless, other labour market data is not as firm and consumers certainly aren't recognising the strength of this data point. Real household disposable incomes are the key driver of spending and that continues to flatline

A second consecutive strong US jobs report but it will be challenging to maintain with ongoing geopolitical and economic uncertainties

115,000 Job gains in April

Jobs beat expectations for a second month

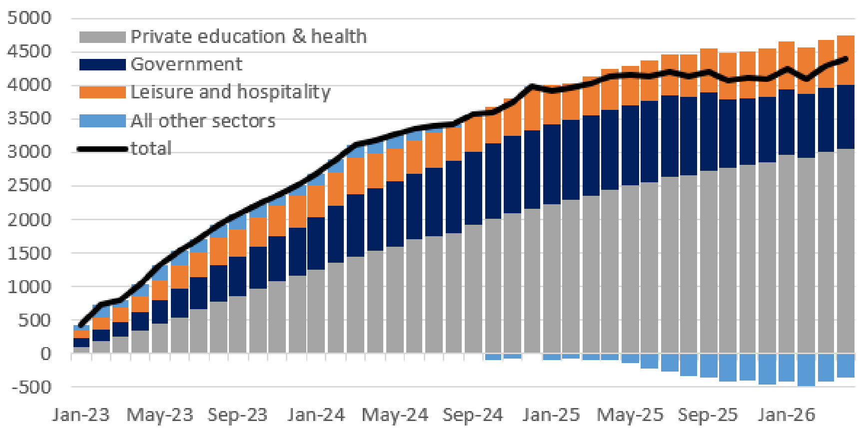
The US jobs report has come in notably stronger than expected for a second consecutive month. Payrolls rose 115k in April versus the 65k expectation, while last month's initial print of 178k is now 185k. This is the first back-to-back monthly jobs increase since May of last year. Other key metrics are that the unemployment rate held steady at 4.3% with the details contradicting the payrolls' data, in that the household survey suggests employment fell 226k while the number of people declaring themselves unemployed rose 134k. Meanwhile, average hourly earnings rose 0.2%MoM/3.6%YoY, which was below the 0.3%/3.8% consensus prediction.

The details show private education and healthcare services added 46k jobs, while transportation and warehousing added 30k and retail contributed 22k, with leisure and hospitality employment increasing 14k. Manufacturing lost 2k though, with information dropping 13k and financial activities losing 11k. Over the past twelve months, the US has added 238k jobs, or just under 20k per month on average, most of which have come in the past two months.

Job gains remain concentrated in three sectors

The chart below shows the cumulative increase in employment since December 2022, with just three sectors accounting for all the jobs added over that time frame. Moreover, the past two payrolls numbers are at odds with the demand surveys we have seen from the ISM and are stronger than the data reported by ADP. The birth-deaths adjustment the Bureau of Labor Statistics uses to compensate for under-coverage of small firms did make a strong contribution of 391k on a non-seasonally adjusted basis. This was similar to last year, but much stronger than previous April periods, which perhaps raises the prospect of eventual downward revisions. For now, though, the overall tone of the report confirms the market pricing that stable interest rates are the likely path forward.

Cumulative employment growth since December 2022 with sectoral breakdown (000s)

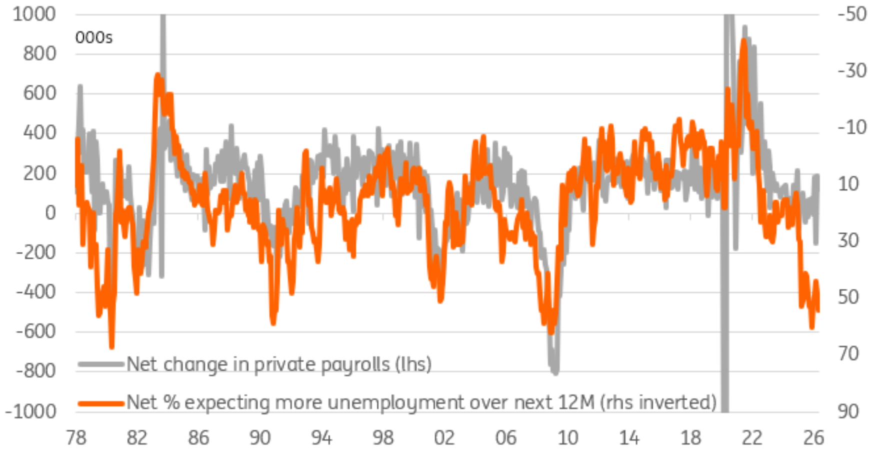


Source: Macrobond, ING

Consumers aren't feeling the improvement

Nonetheless, we are doubtful that these firmer March and April numbers mark the start of a sudden upward trend in job creation. It certainly isn't corroborated by private sector demand indicators, nor consumer confidence readings about the state of the jobs market – see the chart below where the University of Michigan measure of unemployment fears remains at highly concerning levels.

University of Michigan sentiment on unemployment risks remains bleak



Source: Macrobond, ING

In an environment of ongoing geopolitical, economic and market uncertainty, companies are going to be wary and we suspect we will revert back to that 20k per month trend again soon. We also see wage pressure remaining under downward pressure given there are fewer job openings (6.866mn) than there are unemployed Americans (7.373mn). As such, real household disposable income growth is likely to continue flat lining as higher gasoline prices keep inflation elevated. That is not a good story for consumer spending.

Author

James Knightley
Chief International Economist, US
james.knightley@ing.com

Disclaimer

FX Daily: Back on the rollercoaster

Market optimism is fading again, after some military skirmishes in the Strait of Hormuz and the US restarting its escorting programme. There is still some hope that a deal will be agreed before the 14-15 May US-China summit, but risks are clearly very binary for USD crosses at this stage. US payrolls should be solid, but unlikely to overshadow Gulf headlines

Market optimism is fading again, after some military skirmishes in the Strait of Hormuz and the US restarting its escorting programme

USD: Back up on new escalation risk

The dollar has risen back as optimism over an imminent US-Iran deal has faded. The US conducted strikes in the Strait of Hormuz area, and Iran fired missiles at some US destroyers after claiming the US violated the ceasefire. The US specified it does not seek escalation, but this is still concerning news for a market that was close to fully pricing in a resolution.

The *WSJ* also reported the US is ready to restart military escorts in Hormuz ("Project Freedom") as early as this week, as Saudi Arabia and Kuwait lifted restrictions on airspace access. That may have prompted Trump to pause the project earlier this week, a development markets had seen as adding pressure on the US to get a deal.

If this proves to be another episode of misplaced optimism on a US-Iran deal, not only does the dollar have plenty of upside room to recover, but there's a good chance investors will prove more cautious and won't jump as aggressively into de-escalation trades without concrete progress in negotiations. The hope for risk bulls is still that China is adding pressure on the US to reach some kind of deal in the Gulf before the 14-15 May Trump-Xi summit. The outlook is looking quite binary from here for the dollar, with the reaction in equities still likely to have a bigger bearing than oil volatility on DXY.

On the macro side, the US releases jobs figures for April today. Our economists' call on payrolls is 50k, modestly below the 65k consensus. We expect unemployment to remain unchanged at 4.3%, in line with expectations. These would be strong numbers given the poor geopolitical backdrop and spike in gasoline prices. At the same time, employment gains have been confined to health/social care and hospitality/leisure, with the rest of the economy shedding jobs, so we doubt markets will be adding any hawkish views simply on the back of that. Last week, Fed Governor Chris Waller described the labour market as weak, with labour force growth likely "close to zero".

Ultimately, news from the Gulf remains simply more important for both Fed pricing and the dollar at this stage than jobs figures.

Francesco Pesole

EUR: Tariff threats re-emerge

The euro held up relatively well in the crosses yesterday, despite losing some ground against the USD. That is probably due to the impact being more visible in softer equities than significantly higher oil prices, which meant underperformance of less liquid, commodity-exposed currencies. Only NOK narrowly outperformed the dollar yesterday, although that was entirely due to a Norges Bank hike.

The euro didn't seem to suffer from Trump's 4 July ultimatum to the EU to ratify its trade deal, threatening to hike tariffs. That's understandable considering geopolitical volatility makes it impractical to price in a risk two months ahead. To us, however, it's a reminder that if the conflict heads to a resolution, trade may well be next on Trump's agenda, with the USMCA and EU on top of the list.

We still think a peace-Hormuz deal could prompt EUR/USD to rally above 1.180. But risks are very binary at this stage. Even without a military re-escalation, negotiations falling through again should take EUR/USD back below 1.170.

Francesco Pesole

GBP: Pound vulnerable on local election fallout

The UK's ruling Labour Party has suffered heavy losses as the results of council elections start to come in. Most areas are yet to declare results, including in the crucial Scottish and Welsh parliamentary elections. Some Labour figures are already out this morning calling on Prime Minister Starmer to go. Investors will be watching the cabinet closely for signs of pressure or even resignations, as markets weigh up the possibility of an increase in borrowing later this year under different leadership scenarios.

The pound had weakened yesterday before any news about early voting results emerged, largely on the back of softer risk sentiment. Still, some politics-related bearish positioning might have also played a role. EUR/GBP is little changed this morning, but given that no political premium was priced in ahead of these elections, risks remain on the upside for the pair.

Francesco Pesole

CEE: Central banks hold fire as divergence emerges in forward guidance

The Czech National Bank and the National Bank of Poland both left policy rates unchanged (3.50% and 3.75%, respectively), in line with expectations, but signalled diverging risks through their communication. In the Czech Republic, Governor Ales Michl struck a relatively dovish tone, emphasising a wait-and-see approach and arguing that policy is already sufficiently tight, with the Board willing to look through near-term supply-driven inflation pressures. By contrast, in Poland, President Adam Glapiński highlighted rising upside risks, pointing to the phase-out of energy subsidies and returning food VAT as potential drivers of renewed inflation pressure in the second half of the year.

From a market perspective, the contrast suggests limited scope for further tightening in the Czech Republic despite still-elevated rate expectations and waiting longer before a possible hike decision, while in Poland the discussion has shifted away from easing toward a prolonged hold, with tightening risks conditional on inflation persistence.

Across the region, recent FX stabilisation has been supported by improved global sentiment, but without a clear hawkish catalyst, further appreciation looks constrained, leaving currencies broadly range-bound near current levels.

Frantisek Taborsky

Author

Frantisek Taborsky
EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Francesco Pesole
FX Strategist
francesco.pesole@ing.com

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Watch: How two-way risks are dividing the Fed’s policy outlook

The Federal Reserve remains split on where exactly rates are headed. If an agreement is reached that allows the Strait of Hormuz to be reopened and gas and oil flows to resume, rate cuts are still more likely than hikes, says ING's James Knightley

How two-way risks are dividing the Fed’s policy outlook

US inflation remains sticky and could rise again if energy prices jump, while growth and wage data are cooling. That mix is leaving the central bank on a more uncertain footing ahead of its incoming leadership transition

Watch video

Author

James Knightley
Chief International Economist, US
james.knightley@ing.com

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ECB moves closer to June hike

While the European Central Bank kept interest rates on hold at today's meeting, ECB president Christine Lagarde's comments at the press conference suggest that a June hike has come closer

At today's press conference, ECB president Lagarde made a hawkish shift with a rate-hike bias

As stagflationary pressures in the eurozone increase, the ECB has decided to keep interest rates on hold. In its policy statement, the ECB acknowledged rising inflationary pressures but also more downward risks to growth. ECB president Christine Lagarde's comments during the press conference stressed the intensified risks for both growth and inflation. Lagarde stressed that the current state of the eurozone economy had moved away from the March base case scenario, but she refused to indicate where the ECB saw the eurozone economy compared with the alternative scenarios from March.

The most remarkable comments during the press conference were the mentioning of a debate on a rate hike at today's meeting. While Lagarde stressed that the decision to keep rates on hold today had been taken unanimously, the mention of a rate hike debate clearly suggests that the ECB has moved closer to a rate hike at the June meeting.

All of this means that unless there is a quick end to the war in the Middle East, headline inflation continues to increase and knock-on effects on transportation, food prices and other parts of the supply chain continue, the ECB is clearly moving towards a rate hike in June.

Moving closer to June hike

The motivation or justification for such a rate hike was not entirely clear today. Unfortunately, no journalist actually asked why the ECB, or at least some ECB members, actually saw the need for a rate hike. In fact, while there have been many references to 2022 when assessing next steps for the ECB, the experience of 2011 might be a better starting point. Back in 2011, the ECB hiked interest rates – admittedly from slightly lower levels than currently – to tackle rising inflationary pressures. Only to find out that these rate hikes pushed the eurozone economy further into stagnation. As the ECB had underestimated the adverse effects of the sovereign debt crisis, the 2011 rate hikes were reversed quickly. Underestimating the adverse impact of a shock and focusing too much on rising inflation as a result of higher energy prices? The ECB has been there.

All in all, the main take-away from today's ECB meeting can probably be described as another hawkish shift, introducing a clear hiking bias to its wait-and-see stance. It's still hard to see that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn. However, a rate hike, be it symbolic or even a policy mistake, at the June meeting has clearly become more likely today.

Author

Carsten Brzeski
Global Head of Macro
carsten.brzeski@ing.de

Why UK bond yields could rise further on a deeper political crisis

Britain's local elections are a potential market flashpoint. Minimal political risk is priced, even as bond yields hit post 2008 highs of 5%. Borrowing costs could initially climb if the political situation worsens, but a leadership change need not materially alter the fiscal or Bank of England outlook

UK Prime Minister Keir Starmer is in a fight for political survival

Local elections: What's happening and why it matters

Britain's local elections come at a particularly sensitive moment for UK financial markets. Government bond – gilt – yields have just risen above 5% for the first time since 2008, a time when the economy was growing significantly faster than it is today. Much of the latest spike is down to inflation, but the politics can't be ignored. Prime Minister Keir Starmer is in a fight for political survival and a bad election night on 7 May could prove fatal.

Up for grabs are 5013 local council seats – a little over a quarter of Great Britain's total – plus the Scottish and Welsh parliaments. Starmer's Labour Party looks set to lose up to 90% of the 2268 of its council seats up for election, according to some predictions.

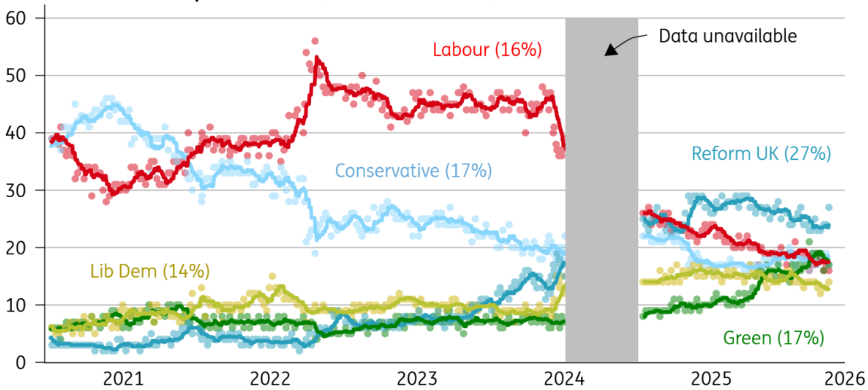
The scale of the defeat will be key. But so too is what drives it.

We know that Nigel Farage's Reform UK is likely to be the main beneficiary of May's elections. The party is running between 25-30% in national polls, up from 15% at the 2024 election. Much of that gain has come at the expense of the Conservative Party, but Reform's rise still poses an issue for Labour.

In Britain's First Past the Post electoral system, general elections are typically won or lost depending on whether the left or the right is more divided. And Reform UK's increasing dominance of the political right comes as the left is increasingly split.

The rise of the Green Party is a bigger issue for Labour than Reform UK

UK General Election poll - YouGov (latest in brackets)



Source: YouGov

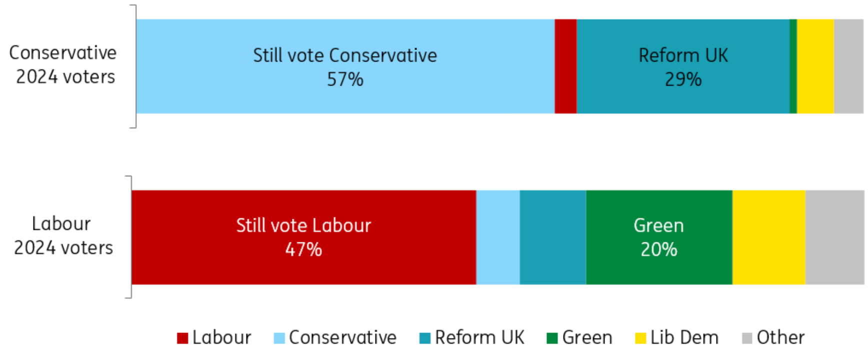
Solid line is the one month moving average

Labour, the Lib Dems and the Green Party are all polling between 14-17% nationally. That's a collapse from 34% at the last election for Labour, but crucially a surge for the Greens, whose share has doubled from 7% in June 2024. If a general election took place tomorrow, Reform would be much more likely to command a majority in Parliament.

To illustrate the point, at 14% of the national vote, Reform won just five seats at the 2024 election. At 24%, that would surge to 188 seats; at 31%, it's 335, according to Multi-level Regression and Post-stratification (MRP) polling by Electoral calculus in January and April of this year. 326 seats are needed for an outright majority.

Britain isn't on the brink of a general election. The next vote isn't until 2029. But Labour's fortunes in three years' time rely on stemming the tide of votes to the Greens and other left-wing parties. A big defeat at the local elections would inevitably focus minds within Labour on what it needs to do to win back support. Polymarket puts a 67% chance on Starmer leaving office by year-end.

20% of Labour 2024 voters would now vote Green



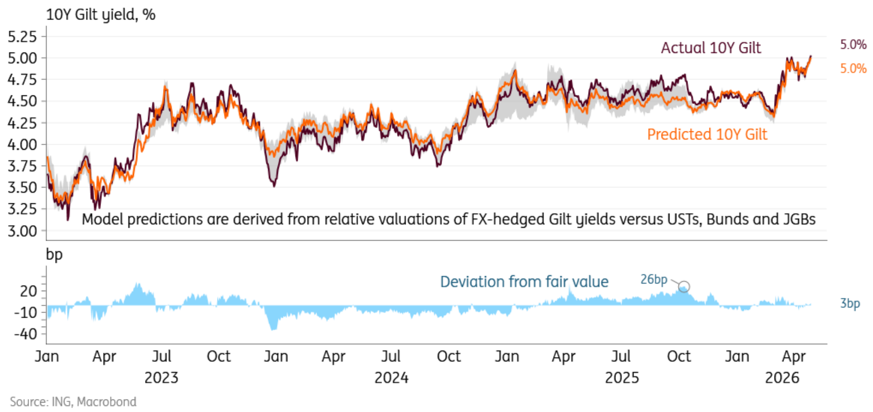
Source: YouGov

How bad would a leadership contest be for markets?

Gilts are already under scrutiny due to inflation risks, and adding political uncertainty to the mix could further push (global) investors to look elsewhere. Whilst we've seen some swings in gilt yields on days with political headlines, we estimate the risk premium on 10Y gilts is still limited. If the situation were to escalate or a leadership contest were to be triggered, the 10Y yield could easily rise another 10-20bp, which would be in line with the nervousness seen in markets prior to the budget announcement last year.

The chain of logic among investors looks like this: a new Labour leader and prime minister would likely mean a new chancellor. A new chancellor, under pressure to take the party towards the left to counter the threat posed by the Green Party, might be more pro-spending. That potentially means new, looser fiscal rules. And new fiscal rules would likely mean more borrowing.

There's virtually no risk premium in 10-year gilts



Source: Macrobond, ING

But the reality might be more nuanced. The infamous 2022 "mini budget", which sparked a sharp though relatively short-lived spike in yields – and mortgage rates – is well etched into the political memory in Westminster. No politician wants to risk triggering a re-run.

Sure, leadership hopefuls may criticise the Office for Budget Responsibility, the independent arbiter of Britain’s fiscal rules. Angela Rayner, the betting markets’ favourite to become the next Labour leader, has said the OBR fails to account for the wider benefits of public investment.

But that is not the same thing as proposing a new set of fiscal rules. Leadership contenders will be under heavy pressure to rule out changes.

Remember, too, that a leadership contest can only be triggered if 20% of Labour MPs (that’s 81) back a single rival candidate. Labour lawmakers might ultimately agree on the need for a new leader, but will they back the same horse?

It might not come to that. Leaders often go when their cabinet turns against them; we saw that with the departure of Boris Johnson in 2022. Nevertheless, a successful leadership candidate will need to command support from across the party. And that might require them to pick a chancellor from a different faction.

A leadership contender on the left of the party might pick someone from its right to head up the Treasury as the price of gaining sufficient support. Doing so might also help calm investor nerves about an impending surge in borrowing.

There also don't appear to be loud calls from within the party for big fiscal loosening right now. A recent speech by two Labour MPs, representing opposite wings of the party, pitched a new economic agenda focused on supply-side policies like tax reform, over big increases in public spending. There haven’t so far been widespread calls for a large universal energy support package, either.

Political noise doesn’t necessarily boost chances of BoE hikes

The bottom line is that the near-term fiscal trajectory – borrowing over the next one or two years – is unlikely to look wildly different whoever is in charge. And notwithstanding the war in Iran, the fiscal backdrop had been looking brighter; the structural deficit was – and still could – fall this year on the ongoing freeze in tax thresholds.

That matters because it suggests domestic politics is unlikely to have a large bearing on Bank of England policy. And even if it does, it’s unlikely the next budget will come earlier than currently planned in late autumn. The Bank can’t act on fiscal policy until it is formally announced. The overwhelming focus will remain on the energy crisis and its impact on inflation.

Longer-term, the story becomes more problematic for markets – but again, we suspect this is true whether it is Starmer or someone else in Downing Street. The main fiscal rule – to bring day-to-day spending into balance with tax revenues within three years – is currently met on paper. But only by promising sizeable tax rises, many of which aren’t scheduled to kick in until 2029. Real per-capita spending on public services is also slated to fall in that year – a year, don’t forget, when the next general election is likely to fall.

In an environment where Labour is struggling in the polls, there will be a lot of pressure to either cancel or offset those plans. And that’s before considering the likelihood that defence spending plans will need to be ramped up.

FX markets price little UK election risk

In FX markets, it feels like there is fatigue over the event risk of these local elections. Sterling bears have been talking about 7 May for a couple of months now, but these risks have been swamped by developments in the Middle East. Looking at the FX options market, the volatility term curve shows just a minor kink around the local election date. And for FX options expiring around the day of the event risk, a 30 pip range is priced for EUR/GBP compared to 14 pips on a 'normal' day.

As above then, a fresh bout of risk premia coming through the fiscal side could demand some temporary weakening in the pound. Until, however, energy markets calm down, it is hard to see EUR/GBP breaking clear of swap differentials. These have narrowed in sterling's favour based on the view that the BoE is going to react more aggressively (tighten) than the ECB to higher energy prices. Until the BoE can forcefully get across the view that it is going to hike less than the ECB, it seems as though EUR/GBP can linger a lot longer in the middle of a 0.86-0.88 range than most – including us – had been expecting.

Author

James Smith
Developed Markets Economist, UK
james.smith@ing.com

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com